

CRED III Master Funds

**Combined Financial Statements (Unaudited)
March 31, 2026**

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CRED III Master Funds
Combined Statement of Assets, Liabilities and Capital (Unaudited)
March 31, 2026

	CRED III Master Fund L.P.	CRED III Holdings L.P.	CRED III Master Funds (Combined)
Assets			
Investments, at fair value (cost \$303,894,557 and \$161,254,528 respectively)	\$ 325,735,457	\$ 169,471,286	\$ 495,206,743
Cash	8,306,315	1,017,133	9,323,448
Restricted cash	5,405,883	-	5,405,883
Interest receivable	830,688	279,471	1,110,159
Due from affiliates	-	153,452	153,452
Deferred financing costs, net	33,061	33,061	66,122
Other assets	-	75,000	75,000
Total assets	<u>\$ 340,311,404</u>	<u>\$ 171,029,403</u>	<u>\$ 511,340,807</u>
Liabilities and Capital			
Repurchase facilities payable	\$ 133,065,314	\$ -	\$ 133,065,314
Credit facility payable	11,287,059	3,215,486	14,502,545
Interest payable	1,715,645	8,214	1,723,859
Management fee payable	590,603	719,511	1,310,114
Deferred loan fees, net	-	16,418	16,418
Accounts payable and accrued expenses	5,000	-	5,000
Total liabilities	<u>146,663,621</u>	<u>3,959,629</u>	<u>150,623,250</u>
Partners' capital	193,647,783	166,944,774	360,592,557
Non-controlling interest	-	125,000	125,000
Total capital	<u>193,647,783</u>	<u>167,069,774</u>	<u>360,717,557</u>
Total liabilities and capital	<u>\$ 340,311,404</u>	<u>\$ 171,029,403</u>	<u>\$ 511,340,807</u>

CRED III Master Funds
Combined Schedule of Investments (Unaudited)
March 31, 2026

Investments (137.3% of capital)

Description	Ownership Percentage	Cost Basis	Fair Value	Fair Value as Percentage of Capital
<u>Mortgage-backed security investments</u>				
FREMF 2022-KF134 Multifamily Mortgage Pass-Through Certificates, Class CS ⁽¹⁾	7.5%	\$ 40,486,308	\$ 40,486,308	11.2%
FREMF 2022-KF145 Multifamily Mortgage Pass-Through Certificates, Class CS ⁽¹⁾	7.5%	45,143,630	45,143,630	12.5%
FREMF 2022-KF151 Multifamily Mortgage Pass-Through Certificates, Class CS ⁽¹⁾	7.5%	53,431,317	53,343,738	14.8%
FREMF 2021-KF126 Multifamily Mortgage Pass-Through Certificates, Class CS ⁽¹⁾	3.2%	26,406,438	25,885,420	7.2%
FKS MBS Portfolio - MSCR 2025 MN-12 Pass-Through Certificates, Class B-1 ⁽¹⁾	6.2%	20,000,000	20,400,000	5.7%
FKS MBS Portfolio - MSCR 2026 MN-13 Pass-Through Certificates, Class B-1 ⁽¹⁾	2.2%	7,500,000	7,500,000	2.1%
Total mortgage-backed security investments		192,967,693	192,759,096	53.5%
<u>Preferred equity investments</u>				
South Tryon Flats - Charlotte, NC	56.2%	20,000,000	26,161,892	7.2%
Navona - Mesa, AZ	43.3%	31,275,529	39,615,623	11.0%
Towerview at Ballantyne - Charlotte, NC	34.9%	12,530,006	14,893,588	4.1%
The Valiant - Berkeley, CA	33.6%	9,381,676	11,245,963	3.1%
Aer Lamar - Austin, TX	36.2%	24,569,560	27,291,390	7.6%
Inspire Sonoran Desert - Phoenix, AZ	31.1%	7,608,046	7,808,040	2.2%
Ferncliff - Melville, NY	26.7%	5,562,047	5,959,865	1.7%
Total preferred equity investments		110,926,864	132,976,361	36.9%
<u>Real estate loan investments</u>				
35 Stone - Seattle, WA	100.0%	27,250,000	27,250,000	7.5%
JP Morgan Facility Portfolio - Various ⁽²⁾	51.0%	70,844,337	77,149,198	21.4%
Capital One Facility Portfolio - Various ⁽³⁾	55.3%	57,001,536	58,492,572	16.2%
2900 Terrace - Miami, FL	77.2%	6,158,655	6,579,516	1.8%
Total real estate loan investments		161,254,528	169,471,286	46.9%
Total investments		\$ 465,149,085	\$ 495,206,743	137.3%

⁽¹⁾ Loan or portion thereof is pledged as collateral supporting the outstanding secured borrowings with repurchase facilities.

⁽²⁾ The JP Morgan Facility Portfolio is levered with a senior participation from JP Morgan and the related values are shown net of such senior participation.

⁽³⁾ The Capital One Facility Portfolio is levered with a repurchase facility from Capital One and the related values are net of such repurchase facility.

CRED III Master Funds
Combined Statement of Operations (Unaudited)
For the Three Months Ended March 31, 2026

	CRED III Master Fund L.P.	CRED III Holdings L.P.	CRED III Master Funds (Combined)
Investment income			
Dividend income	\$ 381,493	\$ 9,443,651	\$ 9,825,144
Interest income	5,200,411	814,488	6,014,899
Other income	-	33,583	33,583
Total investment income	<u>5,581,904</u>	<u>10,291,722</u>	<u>15,873,626</u>
Expenses			
Interest expense	2,055,254	567,517	2,622,771
Management fees	590,603	719,511	1,310,114
Amortization of deferred financing costs	53,135	53,135	106,270
Other expenses	<u>3,163</u>	<u>10,243</u>	<u>13,406</u>
Total expenses	<u>2,702,155</u>	<u>1,350,406</u>	<u>4,052,561</u>
Net investment income (loss)	<u>2,879,749</u>	<u>8,941,316</u>	<u>11,821,065</u>
Net realized and change in unrealized gain (loss)			
Net realized gain (loss) on investments	(3,069)	-	(3,069)
Change in unrealized gain (loss) on investments	<u>2,451,751</u>	<u>(5,124,786)</u>	<u>(2,673,035)</u>
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interest	<u>5,328,431</u>	<u>3,816,530</u>	<u>9,144,961</u>
Dividends to non-controlling interest	<u>-</u>	<u>(3,750)</u>	<u>(3,750)</u>
Net increase (decrease) in capital	<u>\$ 5,328,431</u>	<u>\$ 3,812,780</u>	<u>\$ 9,141,211</u>

CRED III Master Funds
Combined Statement of Changes in Capital (Unaudited)
For the Three Months Ended March 31, 2026

	General Partner	Limited Partners	Non-controlling Interest	Total
<u>CRED III Master Fund L.P.</u>				
Capital as of December 31, 2025	\$ -	\$ 165,435,180	\$ -	\$ 165,435,180
Net investment income (loss)	-	2,879,749	-	2,879,749
Net realized gain (loss) on investments	-	(3,069)	-	(3,069)
Change in unrealized gain (loss) on investments	-	2,451,751	-	2,451,751
Net increase (decrease) in capital resulting from operations	-	5,328,431	-	5,328,431
Contributions	-	27,711,940	-	27,711,940
Distributions	-	(4,827,768)	-	(4,827,768)
Total increase (decrease) in capital	-	28,212,603	-	28,212,603
Capital as of March 31, 2026	<u>\$ -</u>	<u>\$ 193,647,783</u>	<u>\$ -</u>	<u>\$ 193,647,783</u>
<u>CRED III Holdings L.P.</u>				
Capital as of December 31, 2025	\$ 1,455,629	\$ 118,136,468	\$ 125,000	\$ 119,717,097
Net investment income (loss)	-	8,941,316	-	8,941,316
Change in unrealized gain (loss) on investments	-	(5,124,786)	-	(5,124,786)
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interests	-	3,816,530	-	3,816,530
Contributions	-	67,665,007	-	67,665,007
Distributions	(795,980)	(23,329,130)	-	(24,125,110)
Dividends to non-controlling interest	-	(3,750)	3,750	-
Payments of dividends to non-controlling interest	-	-	(3,750)	(3,750)
Carried interest	360,210	(360,210)	-	-
Total increase (decrease) in capital	(435,770)	47,788,447	-	47,352,677
Capital as of March 31, 2026	<u>\$ 1,019,859</u>	<u>\$ 165,924,915</u>	<u>\$ 125,000</u>	<u>\$ 167,069,774</u>
<u>CRED III Master Funds (Combined)</u>				
Capital as of December 31, 2025	\$ 1,455,629	\$ 283,571,648	\$ 125,000	\$ 285,152,277
Net investment income (loss)	-	11,821,065	-	11,821,065
Net realized gain (loss) on investments	-	(3,069)	-	(3,069)
Change in unrealized gain (loss) on investments	-	(2,673,035)	-	(2,673,035)
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interests	-	9,144,961	-	9,144,961
Contributions	-	95,376,947	-	95,376,947
Distributions	(795,980)	(28,156,898)	-	(28,952,878)
Dividends to non-controlling interest	-	(3,750)	3,750	-
Payments of dividends to non-controlling interest	-	-	(3,750)	(3,750)
Carried interest	360,210	(360,210)	-	-
Total increase (decrease) in capital	(435,770)	76,001,050	-	75,565,280
Capital as of March 31, 2026	<u>\$ 1,019,859</u>	<u>\$ 359,572,698</u>	<u>\$ 125,000</u>	<u>\$ 360,717,557</u>